Research on the Ground-Breaking Document Guiding Opinions on Regulating the Asset Management Business of Financial Institutions

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I. Introduction to Regulation

On April 27th, 2018, the People's Bank of China (PBOC), the China Banking and Insurance Regulatory Commission (CBIRC), the China Securities Regulatory Commission (CSRC), and the State Administration of Foreign Exchange (SAFE) jointly issued the "Guiding Opinions on Regulating the Asset Management Business of Financial Institutions (Yinfa No. 106 [2018])[1]". This ground-breaking reform in asset management in China, kicking off the strong regulation of asset management business.

1.1 Details of the Regulation

There are a total of 30 opinions on this regulatory reform, which are very comprehensive and detailed. As shown in Figure 1., I have divided them into three modules, namely regulatory principles, regulatory targets and regulatory requirements, to sort the details of regulation out.

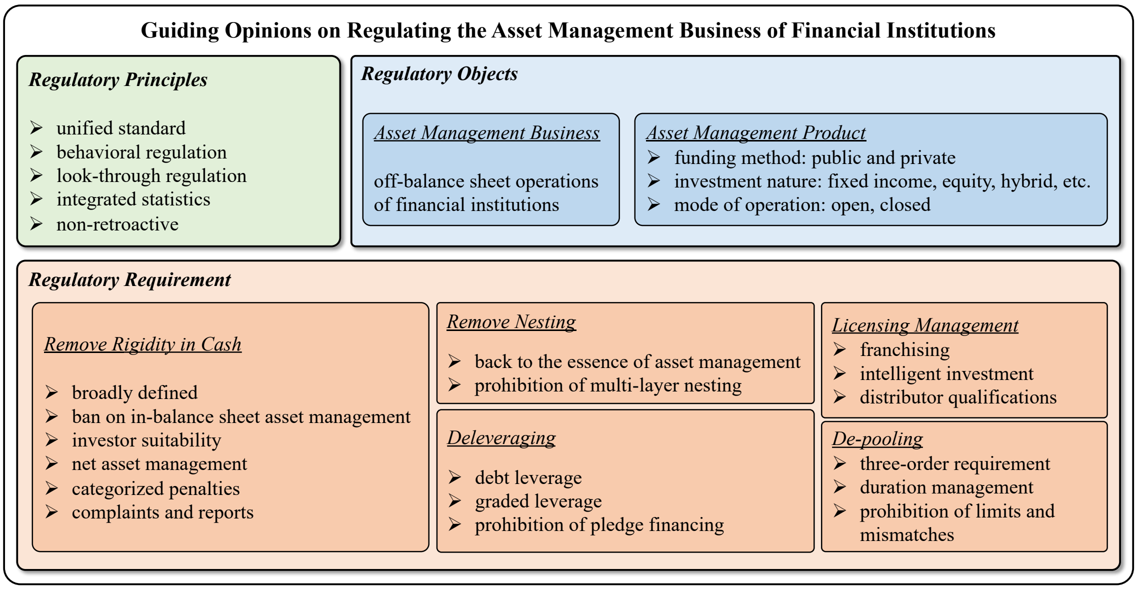

Figure 1. Details of the regulation.

Overall, the regulation involves many aspects, and the key points can be categorized into the following four areas:

(1) **Uniformity of regulatory standards.** This is one of the key issues to be addressed in this regulatory reform. It is specifically manifested in the scientific characterization of asset management business, unified product classification, and many other aspects.

(2) **Breaking Rigid Cashing.** It has become a consensus in the market to break the rigidity of payment and prompt managers to return to their roots. Current regulation imposes clear limits on all types of rigid payments.

[1] **Chinese version:** https://www.gov.cn/gongbao/content/2018/content_5323101.htm;
English version: http://www.pbc.gov.cn/en/3688253/3689009/3788480/3778722/index.html

(3) Strictly prohibiting the business of funds pooling. In terms of criminal law, the formation and control of "capital pooling" is illegal. The regulatory rules now clearly define the characteristics of capital pooling and strictly regulate it.

(4) Net asset management. Pricing is the core of financial products. The regulatory reform adheres to the principle of fair value measurement, encourages the use of the market value method, and limits the use of the amortized cost method.

1.2 Main Purpose of the Regulation

As shown in Figure 2., before the announcement of regulatory reforms, China's shadow banking sector was increasingly expanding, creating systemic risks. **Preventing financial risks is the most direct reason for this regulatory reform.** Since 2008, China has introduced a series of expansionary fiscal and monetary policies, and in 2018, the total scale of the asset management industry exceeded 100 trillion yuan, with serious multi-layer nesting and shadow banking, the macro leverage ratio of the whole society has exceeded 250%[2]. From the perspective of financial practice, there have been many times of large fluctuations in the financial sector, such as the "money shortage" in 2013 and the "stock market crash" in 2015. These increasingly frequent phenomena of large economic fluctuations are closely related to the contradictions that have accumulated within the domestic economy. Stronger regulatory measures are therefore urgently needed. Beyond that, there are ***three main purposes***:

(1) Enhancing the capacity of financial services for the real economy. Past loose monetary policy has released a large amount of liquidity, asset management varieties are seriously nested with each other, and part of the funds are stranded within the financial system. Strengthening regulation to facilitate the flow of funds to the real economy is an important goal.

(2) Eliminate as much space as possible for regulatory arbitrage. Reducing the space for mutual nesting of asset management products through the unification of regulatory standards is not only conducive to the regulators' comprehensive grasp of the whole picture of the large asset management industry and timely prevention and control of risks, but also can promote fair competition in the asset management industry.

(3) Promoting financial supply-side structural reform. The regulatory reform hopes to prompt asset managers to return to their main business, increase effective and efficient supply, eliminate ineffective and inefficient supply, and optimize the rational allocation of financial resources.

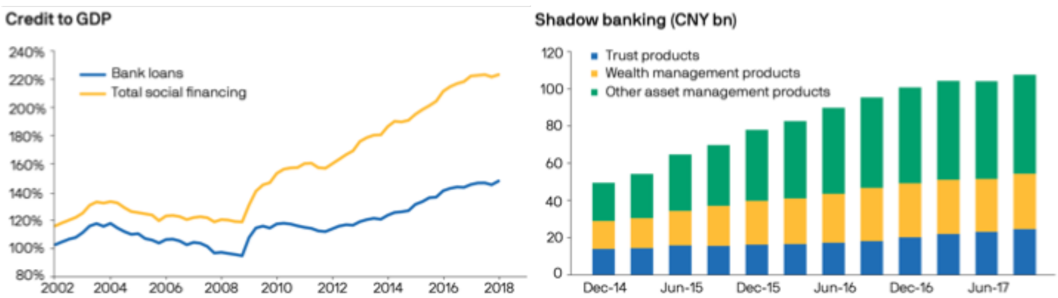

Figure 2. China's shadow banking sector is expanding[3].

[2] The data is from wind. The data mentioned in the subsequent sections is all obtained from wind.
[3] The data is from "The impact of China's new asset management regulations"

II. Forms of Involvement by Commercial Banks

After the regulatory reform, the structure of the asset management industry has changed significantly under the requirements of breaking the rigid exchange and de-nesting. Commercial banks need to make certain adjustments to participate in it. Overall, banks need to restructure their products, enhance disclosure, deleverage, and improve internal compliance. Specifically, as shown in Figure 3., how commercial banks are involved in the implementation of the regulations covers three main parts. I will describe each of them.

The Involving Way of Commercial Banks

Part 1. Transformation of financial products into net worth.

- table returns
- marketable disposals
- new product takeovers

Part 2. Risk control and product system simplification.

Simplify the product system, reduce nesting, and enhance product penetration by the requirements of the new asset management regulations.

Part 3. Establishment of asset management subsidiary.

- Transferring its stock of asset management business to asset management subsidiaries.
- Bank wealth management subsidiaries also issued some new products, with stock transformation and new issuance going in parallel.

Figure 3. The involving way of commercial banks.

2.1 Transformation of Financial Products into Net Worth

Under the regulations, bank financial products will need to transition from expected-income to net-value products. Specifically, the disposal of stock of assets mainly includes back to the table, market-oriented disposal, and new products to take over.

(1) For credit non-standard assets in line with the credit conditions, can be suppressed through the way **back to the table**.

(2) **Market-based disposal** refers to the market-based sale of some assets held by financial products to insurance and other non-bank financial institutions, but part of the asset disposal process will involve equity transfer and other issues, increasing the difficulty of market-based disposal.

(3) **The new product undertaking** refers to the underlying assets of the expired old products related transactions at fair value transfer to the products in line with the new rules of asset management.

Under the constraints of the regulation, the overall allocation of commercial bank asset management products to non-standard assets is **shrinking as the bank asset management rectification advances.** By the end of June 2021, the allocation ratio of bank asset management products to non-standard has declined from the previous high of 17% to 13%, and has been replaced by an increased allocation to credit bonds. The total size of non-standard assets held by bank asset management in June 2021 was about 3.75 trillion yuan.

2.2 Risk Control and Product System Simplification

Commercial banking business de-channeling and de-nesting. The new regulations require that asset management products can be reinvested in a layer of asset management products, but the invested asset management products shall not be reinvested in asset management products other than public securities investment funds. Previously, in the process of the expansion of asset management products, bank financial products **played the role of a channel**, including financial products to buy financial products, financial products with outsourced funds to increase leverage, financial products to buy interbank certificates of deposit, etc., resulting in the empty transfer of financial funds, and one of the indicators to observe is the rapid expansion of the scale of the interbank financial management, and **the share of interbank financial management in bank financial management reached 20.6%** at the end of 2016. Since then, as the regulatory authorities continue to strengthen the supervision of the interbank financial management business, as well as the constraints of the new regulations on capital management, the scale of interbank financial management has been gradually compressed, and by the end of June 2021, **the scale of interbank financial management was only more than 270 billion yuan, which accounted for only 1.05% of the scale of all financial products**.

2.3 Establishment of Asset Management Subsidiary

The regulations encourage financial institutions to set up subsidiaries to manage their asset management business, and the asset management sub-companies can manage risks in a more targeted manner and achieve risk segregation. Commercial banks can also restructure their asset management by setting up asset management subsidiaries. This has in fact been the case in recent years.

After the establishment of bank asset management subsidiaries, banks transferred their stock of asset management business to the subsidiaries, especially as the transition period of the new asset management regulations is nearing the end, the stock transfer has accelerated in 2021. In addition, bank asset management subsidiaries also issued some new products, with the transition of stock and new issuance of products going hand in hand. With the advancement of asset management business transformation as well as the development and steady increase in the scale of asset management companies, the share of asset management companies continues to increase steadily and has become the main force in the asset management market.

III. Forms of Involvement by Non-banking Institutions

Due to the wide range of non-banking institutions, I have only specifically analyzed three types of institutions here: securities, trusts, and insurance institutions.

3.1 Securities: Strengthening Active Management Capacity

With the introduction and promotion of the new regulations on asset management, the channel-type business will continue to shrink steadily, and active management will become the main driving force for scale growth. As of the end of 2017, the scale of securities asset management declined from the beginning of the year due to channel business compression and adjustment. However, **due to the structural active management transformation, the asset management business saw an increase in net income and rates**. Among them, net income increased by 5%, higher than the scale growth rate, which drove up the rate of the fiduciary fee capital management business.

3.2 Trusts: Explore the Benefits of Asset Management and Allocation

Because of the tightening of regulation, the channel business dividend disappears. Therefore, this part of the institutions needs to explore the advantages: firstly, they can deepen the role of creditors of credit assets played in the past vertically, and **participate in the financing of real economy proje**cts through asset securitization, and industrial funds, etc.; and secondly, **in the retail side**, the trust industry can further develop the pilot of consumer trusts, charitable trusts, family trusts and other innovative businesses.

3.2 Insurance: Seize the opportunity to expand

The rigidity of bank asset management products has been broken, but the attributes of insurance products themselves make them **naturally come with a "promise" of return**, which makes insurance products the preferred **substitute for guaranteed wealth management**. The active management opportunities and fair market competition brought by the new asset management regulations will further activate the release of third-party asset management benefits.